EXPENSE DETAILS

In the previous portion, we learned about the revenues a company generates. Moving further on the P&L statement, we will look at the expense side of the Profit and Loss Statement along with the associated notes in this chapter. Expenses are generally classified according to their function, which is also called the cost of sales method or based on the expense's nature. An analysis of the expenses must be shown in the Profit and Loss statement or the notes.

IV.	Expenses:				
	(a)	Cost of materials consumed		2,41,148	2,49,278
	(b)	Purchase of products for sale		27,802	25,043
	(c)	Changes in inventories of finished goods, work-in-progress and products for sale		2,836	(1,566)
	(d)	Employee benefits expense	36	47,767	41,990
	(e)	Finance costs	37	5,083	7,594
	(f)	Compulsorily convertible preference share measured at fair value (gain)/loss		(84)	48
	(g)	Foreign exchange loss/(gain) (net)		(922)	15
	(h)	Depreciation and amortisation expense		23,256	27,239
	(i)	Product development/engineering expenses	38(ii)	10,716	10,959
	(j)	Other expenses	39	85,399	77,198
	(k)	Amount transferred to capital and other account	38(i)	(31,105)	(26,758)

Now let's dive deep into the expenses section, which has a total of 11 subsections. We will look into each one, step by step:

- **Cost of Materials Consumed: This refers to the cost of raw materials and components used in production.**
- **Purchase of Products for Sale: This is the cost of purchasing finished products that the company sells.**
- **Changes in Inventories of Finished Goods, Work in Progress, and Products for Sale: This represents the change in the value of the inventory during the period.**
- **Employee Benefits Expense: This includes salaries, wages, and other benefits provided to employees. It is a significant part of the company's expenses and has a note attached, which we will discuss later.**
- **Finance Cost: This refers to the interest and other costs incurred by the company to finance its operations, and it also has a note attached, which we will discuss in brief later.**
- **Compulsorily Convertible Preference Share Measured at Fair Value: Preference shares are a type of stock that gives shareholders preferential treatment in terms of dividends and asset distribution. These shares are measured at fair value and have specific terms for conversion into common shares.**

- **Foreign Exchange Loss/(Gain) (Net): This represents the net loss or gain due to changes in foreign exchange rates.**
- **Depreciation and Amortization Expense: This includes the reduction in value of the company's tangible and intangible assets over time due to use and wear and tear. Depreciation refers to tangible assets like machinery, while amortization refers to intangible assets like patents.**
- **Product Development / Engineering Expenses: These are costs associated with the development and engineering of new products. This is a crucial expense for a manufacturing company like Tata Motors, and it has a detailed note attached, which we will discuss later.**
- **Other Expenses: This category includes all other expenses not covered in the above subsections. It also has a note attached, which we will discuss in detail later.**
- **Amount Transferred to Capital and Other Accounts: This refers to the transfer of certain expenses to capital or other accounts as part of financial adjustments.**

Finally, adding the amounts in each row will give us the total expense for Tata Motors in the financial year 2024-25.

Now let's examine the note under Employee Benefits Expense for the years ended March 31, 2025 and March 31, 2024:

			(₹ in crores)
		Year ended March 31, 2025	Year ended March 31, 2024
(a)	Salaries, wages and bonus*	39,786	34,937
(b)	Contribution to provident fund and other funds	2,726	2,243
(c)	Staff welfare expenses	5,255	4,810
Total		**47,767**	**41,990**

- **Salaries, wages, and bonuses: Includes payments for regular work and performance-based bonuses.**
- **Contribution to provident fund and other funds: Involves employer contributions to statutory funds like provident funds.**
- **Staff welfare expenses: Covers non-monetary benefits and welfare programs for employees.**

These components together contribute to the overall financial commitment towards Employee Benefits Expenses.

- **Similarly, now let's examine the note 37 under Finance Cost for the FY 2024-25:**

(₹ in crores)

		Year ended March 31, 2025	Year ended March 31, 2024
(a)	Interest on borrowing	5,037	6,089
	Interest on lease liabilities	739	703
	Unwinding of discount on provisions/ liabilities	1,110	750
	Total	**6,886**	**7,542**
	Less: Interest capitalised*	(2,409)	(1,020)
		4,477	**6,522**
(b)	Discounting charges	606	1,072
	Total	**5,083**	**7,594**

Interest on Borrowing: Includes costs incurred on borrowed funds.
Interest on Lease Liabilities: Represents interest expenses related to lease obligations.

Unwinding of Discount on Provisions/Liabilities: Reflects the increase in the present value of a liability due to the passage of time.

Exchange Fluctuation Considered as Interest Cost: Includes fluctuations in exchange rates considered as part of interest costs.

Interest Capitalized: Represents borrowing costs capitalized during the period on qualifying assets.

Discounting Charges: Involves charges related to the discounting of future liabilities to their present value.

These components collectively constitute the total finance costs for TATA Motors in the FY 2024-25.

- **For a closer look at the Product Development/Engineering Expenses let's dive deep into the note attached with it:**

(₹ in crores)

		Year ended March 31, 2025	Year ended March 31, 2024
(a)	Product development costs capitalised	24,455	18,620
(b)	Product development costs expensed	10,716	10,959
	Total product development costs incurred	**35,171**	**29,579**

1. **Product Development Costs Capitalized: Refers to expenses allocated to capital assets associated with product development efforts.**
2. **Product Development Costs Expensed: Represents direct expenses incurred in the process of product development.**

Finally let's explore the last note 39 in the expense section i.e., for Other Expenses:

(₹ in crores)

		Year ended March 31, 2025	Year ended March 31, 2024
(a)	Warranty and product liability expenses*	16,478	13,586
(b)	Freight, transportation, port charges etc.	9,083	8,889
(c)	Publicity	10,697	9,220
(d)	Information Technology (IT) related/Computer expenses	6,471	5,627
(e)	Engineering expense	8,191	7,716
(f)	Processing charges	1,966	2,005
(g)	Consumption of stores and spare parts	2,185	2,098
(h)	Power and fuel	2,443	2,189
(i)	MTM (gain)/loss on commodity derivatives (net)	(162)	1,531
(j)	Allowances for trade and other receivables	63	163
(k)	Works operation and other expenses (refer note below)	27,984	24,174
	Total	**85,399**	**77,198**
	* Net of estimated recovery from suppliers	(712)	(604)

Processing Charges: Costs associated with processing operations. Consumption of Stores and Spare Parts: Expenses related to the use of materials for maintenance and operations.
Power and Fuel: Costs incurred for energy consumption. Information Technology (IT) Related/Computer Expenses: Expenditures on IT and computer-related services.
Engineering Expense: Costs related to engineering activities. MTM Loss on Commodity Derivatives (Net): Mark-to-Market losses on commodity derivatives.
Warranty and Product Liability Expenses: Costs related to warranties and product liabilities, net of estimated recoveries.

- **Freight, Transportation, Port Charges, etc.: Expenses associated with transportation and logistics.**
- **Publicity: Expenditures on advertising and promotional activities.**
- **Allowances for Trade and Other Receivables: Provisions made for potential losses on trade and other receivables.**
- **Allowances for Finance Receivables: Provisions made for potential losses on finance receivables.**
- **Works Operation and Other Expenses: General operational and miscellaneous expenses.**

These components together comprise the total other expenses incurred for the respective years, highlighting various operational and administrative costs.

PROFIT AFTER AND BEFORE TAX LIABILITIES

IX.	Profit before tax from continuing operations (VII-VIII)		33,780	28,429
X.	Tax (credit)/expense (net):			
	(a) Current tax		5,023	4,937
	(b) Deferred tax		5,479	(8,961)
	Total tax (credit)/expense (net)	22	10,502	(4,024)
XI.	Profit for the year from continuing operations (IX-X)		23,278	32,453
	Attributable to:			
	(a) Shareholders of the Company		22,959	32,045
	(b) Non-controlling interests		319	408
XII.	Profit/ (loss) before tax for the year from discontinued operation	51	4,975	(474)
XIII	Tax expense of discontinued operations	51	104	172
XIV	Profit/ (loss) for the year from discontinued operation (XII-XIII)		4,871	(646)
XV	Profit for the year (XI+XIV)		28,149	31,807

- **Profit Before Tax (PBT): refers to the financial metric that represents the net operating income of a company after deducting all operating expenses but before deducting taxes and interest expenses. It is a measure of a company's profitability from its core business activities before considering the impact of financing costs and tax obligations. PBT is often used to assess the operational efficiency and profitability of a business independent of its capital structure and tax liabilities.**

Profit before Tax = Total Revenues - Total Operating Expenses

Profit before Tax

- **Net Profit After Tax (NPAT): refers to the financial metric that represents the net income of a company after deducting all expenses, including taxes. It is the final figure reported in the income statement, often referred to as the "bottom line". NPAT reflects the profitability of a company after accounting for all operating expenses, financing cost (such as interest), and tax obligations. It is a crucial indicator of a company's financial performance, reflecting the amount of profit generated by the business that is available to shareholders and for reinvestment in the company.**

Net Profit After Tax = Profit Before Tax - Applicable Taxes

Net Profit After Tax